



Sampath Bank
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SAMPATH BANK PLC

**Interim Financial Statements
for the period ended 31st March 2024
(In terms of Rule 7.4 of the Colombo Stock Exchange)**

FINANCIAL COMMENTARY FOR THE THREE MONTHS ENDED 31ST MARCH 2024

Financial Performance

Sampath Bank posted a profit before tax (PBT) of Rs 6.2 Bn and a profit after tax (PAT) of Rs 3.4 Bn for the three months ended 31st March 2024, notwithstanding an exchange loss of Rs 4.3 Bn due to the appreciation of LKR against USD by Rs 23.70. These figures signify growth rates of 39.1% and 27.8% respectively, in comparison to the financial results reported in the first quarter of 2023. The Sampath Group also reported PBT and PAT figures of Rs 6.9 Bn and Rs 3.8 Bn respectively, reflecting growth rates of 38.0% and 26.0%

Key highlights for the period ended 31st March 2024

- A significant increase of 27.8% in the Bank's PAT bringing it to Rs 3.4 Bn.
- 12.7% growth in Net Interest Income (NII).
- 17.1% decrease in net fee and commission income due to decreased trade-related operations.
- An exchange loss of Rs 4.3 Bn due to the appreciation of LKR against USD by Rs 23.70.
- 36.8% decline in impairment charges.
- Robust LKR deposit growth of Rs 68 Bn.
- Tier 1 and Total Capital Adequacy Ratios stood at 15.18% and 18.22% respectively as at 31st March 2024, comfortably remaining above regulatory minimum requirements.

Fund based income

During the period, Net Interest Income (NII) reached Rs 20.5 Bn, marking a growth of 12.7% compared to Rs 18.1 Bn recorded in the corresponding period of the previous year. This increase in NII primarily stemmed from a reduction in interest expense which outpaced the decrease in interest income.

The Bank's prudent asset and liability management strategies played a pivotal role in driving the notable growth of NII, especially amid declining interest rates. Additionally, the Net Interest Margin (NIM) witnessed an increase, rising from 5.16% as of 31st December 2023, to 5.24% as of the reporting date.

Non-Fund based income

In 1Q 2024, the Bank experienced a significant 75.3% decrease in its total non-fund based income, declining from Rs 2.8 Bn reported in the corresponding period of last year to Rs 0.7 Bn in the current period. Net fee and commission income recorded a 17.1% decrease compared to 1Q 2023, primarily due to reduced income from trade-related activities. The decline was driven by several factors including lower commission rates for import-related transactions, decreased trade volumes and the appreciation of LKR against the USD. However, fees generated from credit, electronic channels, cards and remittance-related activities showed growth compared to the same period last year.

The Bank reported a net trading loss of Rs 4.5 Bn in 1Q 2024 whereas there was a gain of Rs 1.7 Bn recognized in the previous period. This was primarily due to revaluation losses incurred on forward exchange contracts. The Bank managed to mitigate the impact of this loss through realized exchange gains reported under net other operating income as opposed to the loss of Rs 4.5 Bn recorded in 1Q 2023. Consequently, the Bank's net exchange loss from foreign exchange operations for the period under review amounted to Rs 4.3 Bn, compared to the Rs 2.9 Bn loss reported in the corresponding period of the previous year.

Impairment Charge

In the first quarter of 2024, the Bank reported a total impairment charge of Rs 4.4 Bn, a 36.8% decrease compared to the charge for the comparative period in the previous year. Of this total, Rs 2.4 Bn was attributed to loans and advances (1Q 2023: Rs 6.2 Bn), while Rs 0.9 Bn related to other

financial instruments (1Q 2023: Rs 0.4 Bn). In addition, an impairment charge of Rs 1.1 Bn was recorded for commitments and contingencies (1Q 2023: Rs 0.4 Bn).

Impairment charge on loans and advances

The Bank witnessed a 61.5% reduction in the impairment charge against loans and advances. This decrease can be attributed to the effectiveness of the Bank's prudent provisioning policies implemented in previous years and the revival of economic activities resulting in enhanced credit quality of customers.

During the first quarter of 2024, the Bank conducted a thorough assessment of individually significant customers (ISL) and made tailored provisions in the Financial Statements, accounting for the specific risk factors associated with them. During this period, the Bank observed a reversal in collective impairment indicating an encouraging trend in economic activity and resulting enhancements in customer credit quality. The Bank maintained allowances for overlays for segments with elevated credit risk in line with year-end 2023 practices with most overlays persisting throughout 1Q 2024. Furthermore, the basic impairment models used for collective impairment in 2023 remained unchanged, ensuring sufficient buffers to mitigate potential future credit risks.

Impairment charge on other financial instruments

The Bank recorded a net impairment charge of Rs 0.9 Bn against other financial instruments during 1Q 2024 primarily due to the recognition of an additional charge against Sri Lanka International Sovereign Bonds (SLISB).

Operating Expenses

In the reporting period, operating expenses saw a 7.0% increase compared to the first quarter of 2023. The increase in personnel costs by 16.4% was primarily driven by the annual salary increments. As a result, the Bank's cost-to-income ratio increased by 230 basis points, from 37.7% in 1Q 2023 to 40.0% in 1Q 2024. The negative impact on the Cost to Income ratio can be attributed to both numerator and the denominator, an uptick in operating expenses during the period as well as a decrease in revenue due to exchange losses.

Taxation

The Bank's total effective tax rate rose to 59.7% in the first quarter of 2024 from 57.0% reported in the corresponding period in 2023.

Key Ratios

The Return on Average Shareholders' Equity (after tax) was 9.04% as of 31st March 2024, down from 12.65% reported as of 31st December 2023. Similarly, the Return on Average Assets (before tax) stood at 1.59% as of 31st March 2024, compared to 2.12% reported at the end of 2023.

Capital and Liquidity

Throughout the review period, Sampath Bank maintained all its capital ratios comfortably above regulatory minimum requirements. As of 31st March 2024, the Bank's CET 1, Tier 1, and total capital ratios were at 15.18%, 15.18%, and 18.22%, respectively, compared to 16.35%, 16.35%, and 19.56% recorded at the end of 2023. The change in capital ratios during the reporting period can be attributed to two primary factors: a decrease in capital resulting from the distribution of retained earnings to pay a cash dividend of Rs 6.9 Bn and an increase in risk-weighted assets stemming from loan growth during the period.

Assets

The Bank's asset base grew by 5.8% (annualized growth of 23.3%) from Rs 1.54 Tn as of 31st December 2023 to Rs 1.63 Tn as of 31st March 2024. This expansion was driven by increased investment in Government debt securities and growth in the loan book. Investments in LKR T-bills

and T-bonds collectively increased by Rs 78 Bn, while investments in US Treasuries rose by Rs 28 Bn (USD 98 Mn) during the period under review. Furthermore, total gross loans also increased by Rs 18 Bn, from Rs 877 Bn as of 31st December 2023 to Rs 895 Bn at the end of the reporting period. LKR-denominated loans increased by Rs 20 Bn, while foreign currency loans declined by Rs 2 Bn due to the appreciation of LKR against the USD during the period.

Liabilities

Total liabilities grew by 6.5% (annualized growth of 26.1%), primarily driven by the expansion of the Bank's deposit base, which increased from Rs 1,264.5 Bn at the end of 2023 to Rs 1,331.2 Bn as of 31st March 2024. As of the reporting date, the Bank's CASA ratio stood at 33.6%, reflecting a slight improvement compared to 33.4% at the end of the previous year. The Bank redeemed debentures issued in 2019, amounting to Rs 7.0 Bn, upon maturity during February 2024.

Dividend

At the Annual General Meeting held on 28th March 2024, the shareholders of Sampath Bank approved a first and final Cash Dividend of Rs 5.85 per share for the financial year 2023. In the 1Q 2024 Financial Statements, the Bank made a provision of Rs 6.9 Bn to facilitate the payment of the approved final dividend to its shareholders.

STATEMENT OF PROFIT OR LOSS

For the three months ended 31st March	Bank			Group		
	2024 Rs 000	2023 Rs 000	Change %	2024 Rs 000	2023 Rs 000	Change %
Gross income	50,628,353	53,899,167	(6.1)	53,383,629	56,329,480	(5.2)
Interest income	48,745,858	50,221,439	(2.9)	51,041,994	52,321,299	(2.4)
Less: Interest expense	28,292,932	32,078,636	(11.8)	29,478,973	33,526,590	(12.1)
Net interest income	20,452,926	18,142,803	12.7	21,563,021	18,794,709	14.7
Fee & commission income	5,670,930	6,302,419	(10.0)	5,795,681	6,465,968	(10.4)
Less: Fee & commission expense	1,196,735	903,443	32.5	1,197,439	903,552	32.5
Net fee & commission income	4,474,195	5,398,976	(17.1)	4,598,242	5,562,416	(17.3)
Net (loss)/gain from trading	(4,514,963)	1,692,810	(366.7)	(4,497,696)	1,672,920	(368.9)
Net gain on derecognition of financial assets						
- at fair value through profit or loss	54,812	93,374	(41.3)	54,948	96,658	(43.2)
- at fair value through other comprehensive income	344,427	14,918	2,208.8	344,427	14,918	2,208.8
Net other operating income	327,289	(4,425,793)	107.4	644,275	(4,242,283)	115.2
Total operating income	21,138,686	20,917,088	1.1	22,707,217	21,899,338	3.7
Less: Impairment charge	4,372,636	6,921,080	(36.8)	4,406,178	6,818,202	(35.4)
Net operating income	16,766,050	13,996,008	19.8	18,301,039	15,081,136	21.4
Less: Operating expenses						
Personnel expenses	3,883,284	3,335,040	16.4	4,356,518	3,693,895	17.9
Depreciation and amortisation expenses	764,079	715,708	6.8	700,652	622,906	12.5
Other expenses	3,800,769	3,843,443	(1.1)	4,100,321	4,045,640	1.4
Total operating expenses	8,448,132	7,894,191	7.0	9,157,491	8,362,441	9.5
Operating profit before taxes on financial services	8,317,918	6,101,817	36.3	9,143,548	6,718,695	36.1
Less: Taxes on financial services						
Value added tax	1,823,468	1,418,296	28.6	1,965,413	1,506,551	30.5
Social security contribution levy	253,259	196,986	28.6	272,974	210,064	29.9
Total taxes on financial services	2,076,727	1,615,282	28.6	2,238,387	1,716,615	30.4
Profit before income tax	6,241,191	4,486,535	39.1	6,905,161	5,002,080	38.0
Less: Income tax expense	2,886,514	1,860,833	55.1	3,111,480	1,991,849	56.2
Profit for the period	3,354,677	2,625,702	27.8	3,793,681	3,010,231	26.0
Attributable to:						
Equity holders of the Bank	3,354,677	2,625,702	27.8	3,793,681	3,010,231	26.0
Non-controlling interest	-	-	-	-	-	-
	3,354,677	2,625,702	27.8	3,793,681	3,010,231	26.0
Earnings per share - Basic/Diluted (Rs)	2.86	2.24	27.8	3.23	2.57	26.0

STATEMENT OF COMPREHENSIVE INCOME

For the three months ended 31st March	Bank			Group		
	2024 Rs 000	2023 Rs 000	Change %	2024 Rs 000	2023 Rs 000	Change %
Profit for the period	3,354,677	2,625,702	27.8	3,793,681	3,010,231	26.0
Other comprehensive income						
Items that will be reclassified to profit or loss:						
Debt instruments at fair value through other comprehensive income:						
Gain arising on re-measurement	4,310,760	863,080	399.5	4,310,760	863,080	399.5
Reclassification to profit or loss due to derecognition	(344,427)	(14,918)	(2,208.8)	(344,427)	(14,918)	(2,208.8)
Changes in impairment recycled to profit or loss	53,769	16,383	228.2	53,769	16,383	228.2
Deferred tax effect on the above	(1,206,031)	(259,364)	(365.0)	(1,206,031)	(259,364)	(365.0)
Net other comprehensive income to be reclassified to profit or loss	2,814,071	605,181	365.0	2,814,071	605,181	365.0
Items that will not be reclassified to profit or loss:						
Equity instruments at fair value through other comprehensive income:						
Loss arising on re-measurement	(797,177)	(135,265)	(489.3)	(797,177)	(135,265)	(489.3)
Exchange loss in translation	(255,854)	(486,555)	47.4	(255,854)	(486,555)	47.4
Deferred tax effect on the above	315,909	186,546	69.3	315,909	186,546	69.3
Net other comprehensive income not to be reclassified to profit or loss	(737,122)	(435,274)	(69.3)	(737,122)	(435,274)	(69.3)
Other comprehensive income net of tax	2,076,949	169,907	1,122.4	2,076,949	169,907	1,122.4
Total comprehensive income for the period net of tax	5,431,626	2,795,609	94.3	5,870,630	3,180,138	84.6
Attributable to:						
Equity holders of the Bank	5,431,626	2,795,609	94.3	5,870,630	3,180,138	84.6
Non-controlling interest	-	-	-	-	-	-
	5,431,626	2,795,609	94.3	5,870,630	3,180,138	84.6

STATEMENT OF FINANCIAL POSITION

As at	31st March 2024	Bank 31st December 2023 (Audited) Rs 000	Change %	31st March 2024 Rs 000	Group 31st December 2023 (Audited) Rs 000	Change %
ASSETS						
Cash & cash equivalents	46,306,390	79,272,087	(41.6)	46,719,040	79,530,247	(41.3)
Balances with Central Bank of Sri Lanka	16,671,020	14,463,854	15.3	16,671,020	14,463,854	15.3
Placements with banks	28,064,675	33,741,322	(16.8)	28,064,675	33,741,322	(16.8)
Reverse repurchase agreements	-	-	-	196,600	150,400	30.7
Derivative financial instruments	1,492,607	587,577	154.0	1,492,607	587,577	154.0
Financial assets recognised through profit or loss - measured at fair value	6,976,214	4,744,188	47.0	7,089,545	4,841,302	46.4
Financial assets at amortised cost						
- loans & advances	775,056,999	756,435,559	2.5	807,473,250	787,355,719	2.6
- debt & other instruments	393,838,816	368,100,002	7.0	402,698,601	373,899,842	7.7
Financial assets - fair value through other comprehensive income	291,421,836	216,022,295	34.9	291,421,892	216,022,351	34.9
Investment in subsidiaries	4,116,611	4,110,642	0.1	-	-	-
Property, plant & equipment	9,629,527	9,623,120	0.1	20,013,660	19,960,610	0.3
Intangible assets	851,628	745,395	14.3	870,427	766,532	13.6
Right-of-use assets	3,828,932	3,605,525	6.2	3,281,353	3,152,666	4.1
Deferred tax assets	18,124,599	17,292,023	4.8	18,348,463	17,517,519	4.7
Other assets	34,814,408	33,204,832	4.8	36,880,568	35,386,047	4.2
Total Assets	1,631,194,262	1,541,948,421	5.8	1,681,221,701	1,587,375,988	5.9
LIABILITIES						
Due to banks	16,163,226	11,621,838	39.1	22,445,567	17,344,766	29.4
Derivative financial instruments	6,928,768	1,498,777	362.3	6,928,768	1,498,777	362.3
Securities sold under repurchase agreements	44,717,164	34,688,209	28.9	43,916,397	34,438,086	27.5
Financial liabilities at amortised cost						
- due to depositors	1,317,237,602	1,253,642,547	5.1	1,343,031,452	1,276,551,041	5.2
- due to other borrowers	6,476,530	6,637,129	(2.4)	6,476,530	6,637,129	(2.4)
- due to debt securities holders	16,922,538	26,709,893	(36.6)	20,558,022	30,386,809	(32.3)
Retirement benefit obligation	3,368,073	3,170,247	6.2	3,559,270	3,355,039	6.1
Dividend payable	7,070,348	212,571	3,226.1	7,070,348	212,571	3,226.1
Current tax liabilities	17,903,993	16,220,788	10.4	18,463,778	16,688,675	10.6
Deferred tax liabilities	-	-	-	1,465,112	1,465,112	-
Other liabilities	47,961,833	39,673,346	20.9	50,465,850	40,967,491	23.2
Total Liabilities	1,484,750,075	1,394,075,345	6.5	1,524,381,094	1,429,545,496	6.6

STATEMENT OF FINANCIAL POSITION

As at	31st March 2024 Rs 000	Bank 31st December 2023 (Audited) Rs 000	Change %	31st March 2024 Rs 000	Group 31st December 2023 (Audited) Rs 000	Change %
EQUITY						
Stated capital	48,741,119	48,741,119	-	48,741,119	48,741,119	-
Reserves						
Statutory reserve fund	6,615,000	6,615,000	-	6,929,000	6,929,000	-
Other reserves	84,027,442	81,950,709	2.5	87,525,380	85,448,647	2.4
Retained earnings	7,060,626	10,566,248	(33.2)	13,645,108	16,711,726	(18.4)
Total equity attributable to equity holders of the Bank	146,444,187	147,873,076	(1.0)	156,840,607	157,830,492	(0.6)
Non-controlling interest				-	-	-
Total Equity	146,444,187	147,873,076	(1.0)	156,840,607	157,830,492	(0.6)
Total Liabilities & Equity	1,631,194,262	1,541,948,421	5.8	1,681,221,701	1,587,375,988	5.9
Commitments & contingencies	479,418,666	481,333,065	(0.4)	477,748,111	479,795,279	(0.4)
Net asset value per share (Rs)	124.88	126.10	(1.0)	133.74	134.59	(0.6)

Memorandum information

Number of employees	4,297	4,179
Number of branches	229	229

CERTIFICATION:

I certify that the above Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007.

(Sgd)

Ajantha de Vas Gunasekara

Executive Director/Chief Financial Officer

We, the undersigned, being the Chairman and the Managing Director of Sampath Bank PLC, certify jointly that:

- (a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka; and
- (b) the information contained in these statements have been extracted from the unaudited Financial Statements of the Bank and its subsidiary companies unless indicated as audited.

(Sgd)

Harsha Amarasekera

Chairman

13th May 2024

(Sgd)

Ayodhya Iddawela Perera

Managing Director

STATEMENT OF CHANGES IN EQUITY

Bank

For the three months ended 31st March 2023	Stated Capital Rs 000	Net Scrip Dividend to be Capitalised Rs 000	Statutory Reserve Fund Rs 000	Other Reserves			Retained Earnings Rs 000	Total Equity Rs 000
				Revaluation Reserve	FVOCI Reserve	General Reserve		
				Rs 000	Rs 000	Rs 000		
Balance as at 1st January 2023	47,622,493	-	5,755,000	3,594,984	2,248,650	58,989,347	8,169,471	126,379,945
Total comprehensive income for the period								
Profit for the period	-	-	-	-	-	-	2,625,702	2,625,702
Other comprehensive income	-	-	-	-	169,907	-	-	169,907
Total comprehensive income for the period	-	-	-	-	169,907	-	2,625,702	2,795,609
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders								
Final dividend for 2022: scrip	-	1,118,626	-	-	-	-	(1,316,031)	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	-	(3,948,089)	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	-	(559)	-	(559)
Total contributions by and distributions to equity holders	-	1,118,626	-	-	-	(559)	(5,264,120)	(4,146,053)
Balance as at 31st March 2023	47,622,493	1,118,626	5,755,000	3,594,984	2,418,557	58,988,788	5,531,053	125,029,501

For the three months ended 31st March 2024	Stated Capital Rs 000	Statutory Reserve Fund Rs 000	Other Reserves			Retained Earnings Rs 000	Total Equity Rs 000
			Revaluation Reserve	FVOCI Reserve	General Reserve		
			Rs 000	Rs 000	Rs 000		
Balance as at 1st January 2024	48,741,119	6,615,000	3,594,984	11,344,032	67,011,693	10,566,248	147,873,076
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	3,354,677	3,354,677
Other comprehensive income	-	-	-	2,076,949	-	-	2,076,949
Total comprehensive income for the period	-	-	-	2,076,949	-	3,354,677	5,431,626
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2023: cash	-	-	-	-	-	(6,860,299)	(6,860,299)
Unclaimed dividend adjustments	-	-	-	-	(216)	-	(216)
Total contributions by and distributions to equity holders	-	-	-	-	(216)	(6,860,299)	(6,860,515)
Balance as at 31st March 2024	48,741,119	6,615,000	3,594,984	13,420,981	67,011,477	7,060,626	146,444,187

STATEMENT OF CHANGES IN EQUITY

Group

For the three months ended 31st March 2023	Stated Capital	Net Scrip Dividend to be Capitalised	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
				Revaluation Reserve	FVOCI Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023	47,622,493	-	6,033,000	7,092,922	2,248,650	58,989,347	13,564,655	135,551,067	-	135,551,067
Total comprehensive income for the period										
Profit for the period	-	-	-	-	-	-	3,010,231	3,010,231	-	3,010,231
Other comprehensive income	-	-	-	-	169,907	-	-	169,907	-	169,907
Total comprehensive income for the period	-	-	-	-	169,907	-	3,010,231	3,180,138	-	3,180,138
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders										
Final dividend for 2022: scrip	-	1,118,626	-	-	-	-	(1,316,031)	(197,405)	-	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	-	(3,948,089)	(3,948,089)	-	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	-	(559)	-	(559)	-	(559)
Total contributions by and distributions to equity holders	-	1,118,626	-	-	-	(559)	(5,264,120)	(4,146,053)	-	(4,146,053)
Balance as at 31st March 2023	47,622,493	1,118,626	6,033,000	7,092,922	2,418,557	58,988,788	11,310,766	134,585,152	-	134,585,152

For the three months ended 31st March 2024	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2024	48,741,119	6,929,000	7,092,922	11,344,032	67,011,693	16,711,726	157,830,492	-	157,830,492
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	3,793,681	3,793,681	-	3,793,681
Other comprehensive income	-	-	-	2,076,949	-	-	2,076,949	-	2,076,949
Total comprehensive income for the period	-	-	-	2,076,949	-	3,793,681	5,870,630	-	5,870,630
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2023: cash	-	-	-	-	-	(6,860,299)	(6,860,299)	-	(6,860,299)
Unclaimed dividend adjustments	-	-	-	-	(216)	-	(216)	-	(216)
Total contributions by and distributions to equity holders	-	-	-	-	(216)	(6,860,299)	(6,860,515)	-	(6,860,515)
Balance as at 31st March 2024	48,741,119	6,929,000	7,092,922	13,420,981	67,011,477	13,645,108	156,840,607	-	156,840,607

STATEMENT OF CASH FLOWS

For the three months ended 31st March	Bank		Group	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Cash flows from operating activities				
Interest receipts	50,297,829	44,880,472	52,593,777	47,616,307
Interest payments	(33,095,440)	(25,209,136)	(34,003,290)	(25,951,978)
Net commission receipts	4,448,358	5,399,729	4,572,405	5,563,169
Cash payments to employees	(5,113,615)	(4,180,804)	(5,574,199)	(4,529,798)
Taxes on financial services	(1,169,055)	(2,052,697)	(1,321,511)	(2,133,915)
Receipts from other operating activities	270,471	325,742	593,247	509,250
Cash payments to other operating activities	(4,226,123)	(3,637,289)	(4,323,735)	(4,086,060)
Operating profit before changes in operating assets & liabilities	11,412,425	15,526,017	12,536,694	16,986,975
(Increase)/decrease in operating assets				
Balances with Central Bank of Sri Lanka	(2,207,166)	(1,887,694)	(2,207,166)	(1,887,694)
Financial assets at amortised cost - loans & advances	(30,306,073)	8,755,807	(31,849,325)	8,146,071
Other assets	(1,655,505)	1,935,534	(1,507,192)	1,941,113
	(34,168,744)	8,803,647	(35,563,683)	8,199,490
Increase/(decrease) in operating liabilities				
Due to banks	5,626,622	(3,019,689)	6,251,147	(3,492,362)
Re-purchase agreements	10,004,770	17,514,523	9,454,126	17,139,523
Financial liabilities at amortised cost - due to depositors	82,643,127	(17,023,121)	85,298,452	(16,272,275)
Financial liabilities at amortised cost - due to other borrowers	(241,950)	(913,669)	(241,950)	(913,669)
Other liabilities	7,899,896	(3,637,020)	9,014,740	(3,194,447)
	105,932,465	(7,078,976)	109,776,515	(6,733,230)
Net cash generated from operating activities before income tax	83,176,146	17,250,688	86,749,526	18,453,235
Income tax paid	(2,926,004)	(2,842,117)	(3,055,568)	(3,021,738)
Net cash generated from operating activities	80,250,142	14,408,571	83,693,958	15,431,497
Cash flows from investing activities				
Purchase of property, plant & equipment	(232,669)	(129,111)	(394,145)	(315,393)
Proceeds from disposal of property, plant & equipment	-	-	172	6
Net cash flow from reverse repurchase agreements	-	3,650,789	(46,200)	2,573,808
Net cash flow from financial assets - FVPL	(2,167,217)	2,428,740	(2,166,031)	2,463,617
Net cash flow from debt instruments at amortised cost	(30,553,381)	(566,662)	(33,613,326)	(45,456)
Net cash flow from financial assets - FVOCI	(73,666,483)	(6,957,104)	(73,666,483)	(6,957,104)
Purchase of intangible assets	(195,170)	(91,677)	(195,170)	(98,482)
Dividend received from financial assets	-	-	180	-
Net cash used in investing activities	(106,814,920)	(1,665,025)	(110,081,003)	(2,379,004)
Cash flows from financing activities				
Proceeds from the issue of debentures	-	10,000,000	-	10,000,000
Redemption of debentures	(7,000,000)	(7,500,000)	(7,000,000)	(7,500,000)
Net proceeds from securitisation	-	-	(94,079)	(289,215)
Repayment of principal portion of lease liabilities	(348,850)	(311,859)	(217,389)	(255,043)
Net cash (used in)/generated from financing activities	(7,348,850)	2,188,141	(7,311,468)	1,955,742
Net cash (used)/generated during the period	(33,913,628)	14,931,687	(33,698,513)	15,008,235
Net foreign exchange difference	(4,763,149)	(6,515,030)	(4,763,149)	(6,515,030)
Cash & cash equivalents at the beginning of the year	113,001,014	90,071,931	112,814,749	89,862,724
Cash & cash equivalents at the end of the period	74,324,237	98,488,588	74,353,087	98,355,929

NOTES TO THE FINANCIAL STATEMENTS

1 Analysis of Loans and Advances and Impairment

		Bank		Group	
As at		31st March 2024	31st December 2023 (Audited)	31st March 2024	31st December 2023 (Audited)
		Rs 000	Rs 000	Rs 000	Rs 000
1.1	Gross loans & advances	895,467,618	877,317,072	931,618,906	911,925,231
	Less: Accumulated impairment under stage 1	11,761,872	12,906,592	11,787,843	12,913,484
	Accumulated impairment under stage 2	24,415,569	24,962,148	25,255,271	25,746,701
	Accumulated impairment under stage 3	84,233,178	83,012,773	87,102,542	85,909,327
	Net loans & advances	775,056,999	756,435,559	807,473,250	787,355,719
1.2	Product-wise loans and advances				
	Local currency				
	Bills of exchange	174,020	182,672	174,020	182,672
	Leasing	22,760,792	21,349,645	52,943,947	50,621,080
	Housing loans	49,380,264	49,859,121	49,380,264	49,859,121
	Export loans	5,081,660	4,990,737	5,081,660	4,990,737
	Import loans	77,988,252	68,914,981	77,988,252	68,914,981
	Refinance loans	4,909,129	5,556,161	4,909,129	5,556,161
	Term loans	368,987,125	360,477,760	366,425,948	357,626,220
	Overdraft	87,582,402	84,268,300	87,306,313	83,769,781
	Staff loans	10,191,094	10,313,063	10,298,786	10,428,627
	Pawning and gold loans	80,496,310	80,715,233	88,550,063	88,683,130
	Credit cards	19,920,852	21,027,761	19,920,826	21,027,720
	Money market loans	31,241,974	30,700,866	31,241,974	30,700,866
	Factoring	1,761,166	1,831,406	1,877,946	1,985,699
	Others	10,408	11,469	537,608	460,539
	Sub total	760,485,448	740,199,175	796,636,736	774,807,334
	Foreign currency				
	Bills of exchange	1,511,551	2,111,535	1,511,551	2,111,535
	Housing loans	262,736	329,343	262,736	329,343
	Export loans	30,606,109	30,526,159	30,606,109	30,526,159
	Import loans	12,004,389	13,584,472	12,004,389	13,584,472
	Term loans	82,998,423	81,339,083	82,998,423	81,339,083
	Overdraft	7,593,660	9,202,712	7,593,660	9,202,712
	Others	5,302	24,593	5,302	24,593
	Sub total	134,982,170	137,117,897	134,982,170	137,117,897
	Total gross loans and advances	895,467,618	877,317,072	931,618,906	911,925,231

1.3 Movement of Impairment During the Period

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	12,906,592	24,962,148	83,012,773	120,881,513
Net (reversal)/charge for the period	(946,477)	(37,727)	3,366,470	2,382,266
Write-off during the period	-	-	(37,513)	(37,513)
Interest income accrued on impaired loans & advances	-	-	(1,417,209)	(1,417,209)
Other movements including exchange differences	(198,243)	(508,852)	(691,343)	(1,398,438)
Balance as at 31st March 2024	11,761,872	24,415,569	84,233,178	120,410,619

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	12,913,484	25,746,701	85,909,327	124,569,512
Net (reversal)/charge for the period	(927,398)	17,422	3,339,444	2,429,468
Write-off during the period	-	-	(37,513)	(37,513)
Interest income accrued on impaired loans & advances	-	-	(1,417,397)	(1,417,397)
Other movements including exchange differences	(198,243)	(508,852)	(691,319)	(1,398,414)
Balance as at 31st March 2024	11,787,843	25,255,271	87,102,542	124,145,656

NOTES TO THE FINANCIAL STATEMENTS

2 Analysis of Commitments and Contingencies and Impairment

	Bank		Group	
	31st March 2024	31st December 2023 (Audited)	31st March 2024	31st December 2023 (Audited)
	Rs 000	Rs 000	Rs 000	Rs 000
As at				
2.1 Gross commitments and contingencies	483,652,412	484,568,563	481,965,569	483,014,792
Less: Accumulated impairment under stage 1	2,263,215	2,507,806	2,257,735	2,491,821
Accumulated impairment under stage 2	1,363,078	701,999	1,352,270	701,999
Accumulated impairment under stage 3	607,453	25,693	607,453	25,693
Net commitments and contingencies	479,418,666	481,333,065	477,748,111	479,795,279
2.2 Product-wise commitments and contingencies				
Local currency				
Credit related commitments & contingencies				
Undrawn - direct credit facilities	118,619,339	116,854,253	116,541,915	115,140,510
Undrawn - indirect credit facilities	75,173,703	65,688,629	75,173,703	65,688,629
Acceptances	-	26,325	-	26,325
Documentary credit	1,162,477	1,003,478	1,162,477	1,003,478
Guarantees	33,577,900	31,886,127	33,578,900	31,889,127
	228,533,419	215,458,812	226,456,995	213,748,069
Other commitments & contingencies				
Capital commitments	635,434	632,692	1,025,015	789,664
Operating lease commitments	94,534	84,450	94,534	84,450
Forward exchange contracts	12,430,681	5,288,272	12,430,681	5,288,272
Currency SWAPs	104,585,491	107,447,795	104,585,491	107,447,795
	117,746,140	113,453,209	118,135,721	113,610,181
Sub total	346,279,559	328,912,021	344,592,716	327,358,250
Foreign currency				
Credit related commitments & contingencies				
Undrawn - direct credit facilities	36,858,467	38,693,848	36,858,467	38,693,848
Undrawn - indirect credit facilities	3,082,104	3,214,738	3,082,104	3,214,738
Acceptances	16,328,039	10,642,621	16,328,039	10,642,621
Documentary credit	22,211,488	27,338,763	22,211,488	27,338,763
Guarantees	3,296,673	3,605,317	3,296,673	3,605,317
	81,776,771	83,495,287	81,776,771	83,495,287
Other commitments & contingencies				
Capital commitments	142,848	300,712	142,848	300,712
Forward exchange contracts	29,324,823	23,146,684	29,324,823	23,146,684
Currency SWAPs	26,128,411	48,713,859	26,128,411	48,713,859
	55,596,082	72,161,255	55,596,082	72,161,255
Sub total	137,372,853	155,656,542	137,372,853	155,656,542
Total gross commitments and contingencies	483,652,412	484,568,563	481,965,569	483,014,792

2.3 Movement of Impairment During the Period

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	2,507,806	701,999	25,693	3,235,498
Net (reversal)/charge for the period	(213,579)	687,868	582,079	1,056,368
Other movements including exchange differences	(31,012)	(26,789)	(319)	(58,120)
Balance as at 31st March 2024	2,263,215	1,363,078	607,453	4,233,746

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	2,491,821	701,999	25,693	3,219,513
Net (reversal)/charge for the period	(203,074)	677,060	582,079	1,056,065
Other movements including exchange differences	(31,012)	(26,789)	(319)	(58,120)
Balance as at 31st March 2024	2,257,735	1,352,270	607,453	4,217,458

NOTES TO THE FINANCIAL STATEMENTS

3 Analysis of Deposits

	Bank		Group	
As at	31st March 2024	31st December 2023 (Audited)	31st March 2024	31st December 2023 (Audited)
	Rs 000	Rs 000	Rs 000	Rs 000
Local Currency Deposits				
Demand deposits	62,768,148	59,048,988	62,739,598	59,008,095
Saving deposits	292,047,075	272,907,275	292,067,955	272,917,719
Call deposits	3,472	3,743	3,472	3,743
Fixed deposits	742,113,307	698,430,507	767,914,827	721,369,450
Certificates of deposits	5,556,176	5,391,335	5,556,176	5,391,335
Margin deposits	1,660,027	1,121,567	1,660,027	1,121,567
Total local currency deposits	1,104,148,205	1,036,903,415	1,129,942,055	1,059,811,909
Foreign Currency Deposits				
Demand deposits	8,556,876	9,130,948	8,556,876	9,130,948
Saving deposits	83,742,853	80,753,895	83,742,853	80,753,895
Fixed deposits	120,660,653	126,656,250	120,660,653	126,656,250
Margin deposits	129,015	198,039	129,015	198,039
Total foreign currency deposits	213,089,397	216,739,132	213,089,397	216,739,132
Total deposits	1,317,237,602	1,253,642,547	1,343,031,452	1,276,551,041

1. There are no changes to the accounting policies and methods of computation since the publication of the annual accounts for the year 2023.
2. The Group Financial Statements comprise a consolidation of the Bank and its fully owned subsidiaries, Sampath Centre Ltd, SC Securities (Pvt) Ltd, Siyapatha Finance PLC and Sampath Information Technology Solutions Ltd.
3. There are no material changes during the period in the composition of assets, liabilities and contingent liabilities. All known expenditure items have been provided for.
4. These interim Financial Statements are presented in accordance with Sri Lanka Accounting Standard - LKAS 34 (Interim Financial Reporting) and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.

5. Market Price of a Share	2024 (Rs)	2023 (Rs)
Market Price as at 31st March	80.00	52.50
Highest Market Price during the quarter ended 31st March	80.90	59.30
Lowest Market Price during the quarter ended 31st March	66.00	33.00
Weighted Average Market Price during the quarter ended 31st March	72.47	46.30

Quoted shares and debentures of the Bank are only traded in Sri Lankan Rupees

6. Impairment of financial assets

Loans and advances

The Bank diligently assessed its individually significant customers (ISL) as at 31st March 2024, and allocated adequate provisions in the Financial Statements, addressing the unique risk profiles associated with each of these customers. Further, loan recovery period also extended where necessary, considering the suspension of parate execution by the Government until end 2024. Impairment reversals were recorded only in instances where a discernible improvement in customer credit risk was evident, or when loans were either fully or partially recovered.

Under collective impairment, the fundamental impairment models remained consistent throughout the period. The Bank also continued to apply allowance for overlays to customer segments still carrying an increased credit risk.

Other financial assets

The Bank increased the loss rate applied on Sri Lanka International Sovereign Bonds (SLISB) during 1Q 2024 in line with the latest developments. As a result, net impairment charge was recognised against other financial instruments.

7. Events after the reporting period

There are no material events that took place after the reporting date which require adjustment to or disclosure in the Financial Statements other than the item disclosed under 7.1 below.

7.1 Appointment of a Director

Mr. Roger Keith Modder (Non-Executive, Independent Director) appointed to the Board of Directors with effect from 02nd April 2024.

8. Dividend

The Shareholders of the Bank at the Annual General Meeting held on 28th March 2024 approved a final cash dividend of Rs 5.85 per share for the financial year 2023. The Bank has made a provision of Rs 6,860 Mn for the approved final dividend in its Financial Statements as at 31st March 2024. The dividend distribution took place in April 2024.

9. Utilisation of funds raised via capital markets

The funds raised via capital markets in the previous years were fully utilised for the objectives stated in the relevant prospectuses.

10. Reclassification of Debt Portfolio in 2022

In 2022, the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) issued a “Statement of Alternative Treatment (SoAT) on Reclassification of Debt portfolio” which provided a one-off option to the entities to reclassify their debt portfolios measured at Fair Value through Other Comprehensive Income (FVOCI) to Amortised Cost (AC). This SoAT was issued considering the unprecedented macro-economic conditions prevailed during the year 2022. Applying this SoAT, the Bank reclassified its FVOCI treasury bond portfolio with effect from 1st April 2022 to AC.

Amortised cost of the treasury bonds reclassified from FVOCI and outstanding as at 31st March 2024 amounted to Rs 1,478.2 Mn. Had these treasury bonds continued at FVOCI, the fair value and the cumulative mark to market loss as at 31st March 2024 would have been Rs 1,443.7 Mn and Rs 34.5 Mn respectively.

SAMPATH BANK PLC (ORDINARY SHARES)
TOP 20 SHAREHOLDERS AS AT 31ST MARCH 2024

Name of the Shareholder	No. of shares	% holding
1 Vallibel One PLC	175,352,762	14.95
2 Phantom Investments (Pvt) Limited	117,270,076	10.00
3 Ayenka Holdings Private Limited*	116,948,834	9.97
4 Employees' Provident Fund	116,948,697	9.97
5 Mr Y S H I Silva**	96,121,110	8.20
6 Rosewood (Pvt) Limited	52,823,954	4.50
7 Akbar Brothers Pvt Ltd A/C No.1	28,134,771	2.40
8 Employees' Trust Fund Board	19,959,469	1.70
9 Senthilverl Holdings (Pvt) Ltd	17,376,070	1.48
10 Citibank Newyork S/A Norges Bank Account 2	14,786,572	1.26
11 Sampath Bank PLC Account No. 4 (Sampath Bank Pension Fund)	11,832,461	1.01
12 Mrs P D A S Beruwalage	11,555,469	0.99
13 BBH - Tundra Sustainable Frontier Fund	9,837,629	0.84
14 Mr W Jinadasa	9,679,612	0.83
15 SSBT - AL Mehwar Commercial Investments L.L.C.	6,877,041	0.59
16 Magna Wealth (Pvt) Ltd	6,361,683	0.54
17 Hatton National Bank PLC - Capital Alliance Quantitative Equity Fund	5,725,494	0.49
18 Mr B A Mahipala	4,756,704	0.41
19 Auerbach Grayson and Company LLC	4,662,967	0.40
20 Phoenix Ventures (Pvt) Limited	4,431,051	0.38
	831,442,426	70.90
Shares held by Directors	328,893	0.03
Balance held by other shareholders	340,929,441	29.07
Total	1,172,700,760	100.00

*Mr. Prabhask Subasinghe, the Managing Director of Ayenka Holdings (Pvt) Ltd, was appointed as a Non-Executive, Non-Independent Director of the Bank with effect from 01st December 2023. Accordingly, the shareholding of Ayenka Holdings (Pvt) Ltd has been excluded from the public shareholding of the Bank.

**Mr Rushanka Silva, the Managing Director of Indra Traders (Pvt) Ltd, was appointed as a Non-Executive, Non-Independent Director of the Bank with effect from 01st September 2017. Accordingly the shareholding of Mr Y S H I Silva, who is the main shareholder of Indra Traders (Pvt) Ltd, has been excluded from the public shareholding of the Bank.

As at	31st March 2024
Number of public shareholders	29,292
Percentage of public holding	80.79%
Float adjusted market capitalization	Rs 76 Bn

The Bank complies with the minimum public holding requirement under option 1 of Listing Rules Section 7.13.1 (i) (a).

Directors' Holding in Shares of Sampath Bank PLC

Director's Name	No. of shares held	
	As at 31st March 2024	As at 31st December 2023
1 Mr Harsha Amarasekera	-	-
2 Mr Rushanka Silva	-	-
3 Mr D K de Silva Wijeyeratne	-	-
4 Ms A Nanayakkara	-	-
5 Mr Vajira Kulatilaka	-	-
6 Ms R K Jayawardena	-	-
7 Mr Vinod Hirdaramani	288,087	288,087
8 Mr Hiran Cabraal	-	-
9 Mr Prabhash Subasinghe	40,195	40,195
10 Ms Ayodhya Iddawela Perera (Managing Director)	611	611
11 Mr D A de Vas Gunasekara (Chief Financial Officer)	-	-

Segment Information - Group

For the period ended 31st March	Corporate Banking		Retail & Personal Banking		Dealing/Investment		Others		(Eliminations)/Unallocated		Total	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Net interest income	4,196,534	11,478,770	10,277,904	13,702,306	9,796,974	3,991,281	-	-	(2,708,391)	(10,377,648)	21,563,021	18,794,709
Net fee & commission income	1,251,278	1,509,928	3,301,920	3,970,158	45,044	82,330	-	-	-	-	4,598,242	5,562,416
Net (loss)/gain from trading	-	-	-	-	(4,497,696)	1,672,920	-	-	-	-	(4,497,696)	1,672,920
Net gain on derecognition of financial assets	-	-	-	-	399,375	111,576	-	-	-	-	399,375	111,576
Net other operating income	6,925	-	442,853	417,886	3,693,181	675,790	40,056	67,126	(3,538,740)	(5,403,085)	644,275	(4,242,283)
Total revenue from external customers	5,454,737	12,988,698	14,022,677	18,090,350	9,436,878	6,533,897	40,056	67,126	(6,247,131)	(15,780,733)	22,707,217	21,899,338
Inter segment (expense)/income	(110,116)	(317,020)	120,440	337,449	-	-	254,841	191,318	(265,165)	(211,747)	-	-
Total operating income	5,344,621	12,671,678	14,143,117	18,427,799	9,436,878	6,533,897	294,897	258,444	(6,512,296)	(15,992,480)	22,707,217	21,899,338
Less: Impairment charge	3,218,597	3,608,515	256,655	2,890,150	939,721	349,150	(2,134)	(3,816)	(6,661)	(25,797)	4,406,178	6,818,202
Net operating income	2,126,024	9,063,163	13,886,462	15,537,649	8,497,157	6,184,747	297,031	262,260	(6,505,635)	(15,966,683)	18,301,039	15,081,136
Less: Total operating expenses	163,091	140,993	4,989,302	4,885,925	153,340	118,162	151,150	135,302	3,700,608	3,082,059	9,157,491	8,362,441
Segment result	1,962,933	8,922,170	8,897,160	10,651,724	8,343,817	6,066,585	145,881	126,958	(10,206,243)	(19,048,742)	9,143,548	6,718,695
Less: Taxes on financial services											2,238,387	1,716,615
Less: Income tax expense											3,111,480	1,991,849
Profit for the period											3,793,681	3,010,231
Non controlling interest											-	-
Profit attributable to equity holders of the Bank											3,793,681	3,010,231
As at 31st March	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Segment assets	379,470,857	399,303,582	492,656,590	488,339,582	732,576,928	357,820,684	9,137,852	8,905,873	(11,649,281)	(12,800,804)	1,602,192,946	1,241,568,917
Unallocated assets	-	-	-	-	-	-	-	-	79,028,755	107,522,415	79,028,755	107,522,415
Total assets	379,470,857	399,303,582	492,656,590	488,339,582	732,576,928	357,820,684	9,137,852	8,905,873	67,379,474	94,721,611	1,681,221,701	1,349,091,332
Segment liabilities	34,983,682	34,173,421	1,334,003,732	1,068,459,316	58,785,580	26,653,997	3,133,822	3,293,795	(8,456,220)	(9,676,197)	1,422,450,596	1,122,904,332
Unallocated liabilities	-	-	-	-	-	-	-	-	101,930,498	91,601,848	101,930,498	91,601,848
Total liabilities	34,983,682	34,173,421	1,334,003,732	1,068,459,316	58,785,580	26,653,997	3,133,822	3,293,795	93,474,278	81,925,651	1,524,381,094	1,214,506,180
For the period ended 31st March	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from operating activities	(18,651,402)	14,315,090	101,898,667	1,830,108	462,202	(107,373)	529,424	107,429	(544,933)	(713,757)	83,693,958	15,431,497
Cash flows from investing activities	-	-	-	-	(106,400,263)	(1,400,644)	(407,969)	(149,845)	(3,272,771)	(828,515)	(110,081,003)	(2,379,004)
Cash flows from financing activities	-	-	611,924	94,200	-	-	52,884	166,774	(7,976,276)	1,694,768	(7,311,468)	1,955,742
Capital expenditure	-	-	(20,042)	(13,765)	-	-	(470,026)	(178,917)	(99,247)	(221,193)	(589,315)	(413,875)

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Bank - As at 31st March 2024

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	46,306,390	-	46,306,390
Balances with Central Bank of Sri Lanka	-	16,671,020	-	16,671,020
Placements with banks	-	28,064,675	-	28,064,675
Derivative financial instruments	1,492,607	-	-	1,492,607
Financial assets recognised through profit or loss - measured at fair value	6,976,214	-	-	6,976,214
Financial assets at amortised cost				
- loans & advances	-	775,056,999	-	775,056,999
- debt & other instruments	-	393,838,816	-	393,838,816
Financial assets - fair value through other comprehensive income	-	-	291,421,836	291,421,836
Other assets	-	29,145,551	-	29,145,551
Total Financial Assets	8,468,821	1,289,083,451	291,421,836	1,588,974,108

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	16,163,226	16,163,226
Derivative financial instruments	6,928,768	-	6,928,768
Securities sold under repurchase agreements	-	44,717,164	44,717,164
Financial liabilities at amortised cost			
- due to depositors	-	1,317,237,602	1,317,237,602
- due to other borrowers	-	6,476,530	6,476,530
- due to debt securities holders	-	16,922,538	16,922,538
Dividend payable	-	7,070,348	7,070,348
Other liabilities	-	41,840,514	41,840,514
Total Financial Liabilities	6,928,768	1,450,427,922	1,457,356,690

Bank - As at 31st December 2023 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,272,087	-	79,272,087
Balances with Central Bank of Sri Lanka	-	14,463,854	-	14,463,854
Placements with banks	-	33,741,322	-	33,741,322
Derivative financial instruments	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,744,188	-	-	4,744,188
Financial assets at amortised cost				
- loans & advances	-	756,435,559	-	756,435,559
- debt & other instruments	-	368,100,002	-	368,100,002
Financial assets - fair value through other comprehensive income	-	-	216,022,295	216,022,295
Other assets	-	27,778,625	-	27,778,625
Total Financial Assets	5,331,765	1,279,791,449	216,022,295	1,501,145,509

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	11,621,838	11,621,838
Derivative financial instruments	1,498,777	-	1,498,777
Securities sold under repurchase agreements	-	34,688,209	34,688,209
Financial liabilities at amortised cost			
- due to depositors	-	1,253,642,547	1,253,642,547
- due to other borrowers	-	6,637,129	6,637,129
- due to debt securities holders	-	26,709,893	26,709,893
Dividend payable	-	212,571	212,571
Other liabilities	-	32,953,593	32,953,593
Total Financial Liabilities	1,498,777	1,366,465,780	1,367,964,557

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Group - As at 31st March 2024

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	46,719,040	-	46,719,040
Balances with Central Bank of Sri Lanka	-	16,671,020	-	16,671,020
Placements with banks	-	28,064,675	-	28,064,675
Reverse repurchase agreements	-	196,600	-	196,600
Derivative financial instruments	1,492,607	-	-	1,492,607
Financial assets recognised through profit or loss - measured at fair value	7,089,545	-	-	7,089,545
Financial assets at amortised cost				
- loans & advances	-	807,473,250	-	807,473,250
- debt & other instruments	-	402,698,601	-	402,698,601
Financial assets - fair value through other comprehensive income	-	-	291,421,892	291,421,892
Other assets	-	30,651,768	-	30,651,768
Total Financial Assets	8,582,152	1,332,474,954	291,421,892	1,632,478,998

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	22,445,567	22,445,567
Derivative financial instruments	6,928,768	-	6,928,768
Securities sold under repurchase agreements	-	43,916,397	43,916,397
Financial liabilities at amortised cost			
- due to depositors	-	1,343,031,452	1,343,031,452
- due to other borrowers	-	6,476,530	6,476,530
- due to debt securities holders	-	20,558,022	20,558,022
Dividend payable	-	7,070,348	7,070,348
Other liabilities	-	43,356,923	43,356,923
Total Financial Liabilities	6,928,768	1,486,855,239	1,493,784,007

Group - As at 31st December 2023 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,530,247	-	79,530,247
Balances with Central Bank of Sri Lanka	-	14,463,854	-	14,463,854
Placements with banks	-	33,741,322	-	33,741,322
Reverse repurchase agreements	-	150,400	-	150,400
Derivative financial instruments	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,841,302	-	-	4,841,302
Financial assets at amortised cost				
- loans & advances	-	787,355,719	-	787,355,719
- debt & other instruments	-	373,899,842	-	373,899,842
Financial assets - fair value through other comprehensive income	-	-	216,022,351	216,022,351
Other assets	-	29,462,947	-	29,462,947
Total Financial Assets	5,428,879	1,318,604,331	216,022,351	1,540,055,561

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	17,344,766	17,344,766
Derivative financial instruments	1,498,777	-	1,498,777
Securities sold under repurchase agreements	-	34,438,086	34,438,086
Financial liabilities at amortised cost			
- due to depositors	-	1,276,551,041	1,276,551,041
- due to other borrowers	-	6,637,129	6,637,129
- due to debt securities holders	-	30,386,809	30,386,809
Dividend payable	-	212,571	212,571
Other liabilities	-	33,316,061	33,316,061
Total Financial Liabilities	1,498,777	1,398,886,463	1,400,385,240

FAIR VALUE OF FINANCIAL INSTRUMENTS

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

(a) Level 1 – Quoted market price (unadjusted)

When available, the Bank measures the fair value of financial instruments using quoted market prices in an active market. Accordingly, quoted equity securities have been valued using quoted market prices as at the reporting date, while the fair values of treasury bills and bonds have been derived using the published yield curves.

(b) Level 2 – Valuation technique using observable inputs

If a market for a financial instrument is not active, then the Bank measures fair value of such instruments using quoted prices for similar assets and liabilities in active markets or quoted prices for identical/similar assets and liabilities in inactive markets or using models where all significant inputs are observable. The Bank has used the spot and forward premiums available as at the reporting date to estimate the fair value of derivative financial instruments. Fair values of financial assets and financial liabilities carried at amortised cost have been estimated by comparing the interest rates when they were first recognised with the current market rates of similar instruments.

(c) Level 3 – Valuation technique with significant unobservable inputs

Assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

There are no material changes in the fair value of financial assets categorised under Level 3, compared to the values reported as at 31st December 2023. The Bank has not changed the valuation models and assumptions used to measure the fair values of Level 3 financial instruments during the period ended 31st March 2024.

Financial Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy

Bank

Date of Valuation	As at 31st March 2024				As at 31st December 2023 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices	Significant	Significant		Quoted Prices	Significant	Significant	
	in Active Markets (Level 1) Rs 000	Observable Inputs (Level 2) Rs 000	Unobservable Inputs (Level 3) Rs 000		in Active Markets (Level 1) Rs 000	Observable Inputs (Level 2) Rs 000	Unobservable Inputs (Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	1,492,607	-	1,492,607	-	587,577	-	587,577
Financial assets - fair value through profit or loss	6,976,214	-	-	6,976,214	4,744,188	-	-	4,744,188
Financial assets - fair value through other comprehensive income	290,243,869	1,125,310	52,657	291,421,836	211,004,648	4,957,076	60,571	216,022,295
Total financial assets measured at fair value	297,220,083	2,617,917	52,657	299,890,657	215,748,836	5,544,653	60,571	221,354,060
Financial liabilities measured at fair value								
Derivative financial instruments	-	6,928,768	-	6,928,768	-	1,498,777	-	1,498,777
Total financial liabilities measured at fair value	-	6,928,768	-	6,928,768	-	1,498,777	-	1,498,777

Group

Date of Valuation	As at 31st March 2024				As at 31st December 2023 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices	Significant	Significant		Quoted Prices	Significant	Significant	
	in Active Markets (Level 1) Rs 000	Observable Inputs (Level 2) Rs 000	Unobservable Inputs (Level 3) Rs 000		in Active Markets (Level 1) Rs 000	Observable Inputs (Level 2) Rs 000	Unobservable Inputs (Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	1,492,607	-	1,492,607	-	587,577	-	587,577
Financial assets - fair value through profit or loss	7,089,545	-	-	7,089,545	4,841,302	-	-	4,841,302
Financial assets - fair value through other comprehensive income	290,243,869	1,125,310	52,713	291,421,892	211,004,648	4,957,076	60,627	216,022,351
Total financial assets measured at fair value	297,333,414	2,617,917	52,713	300,004,044	215,845,950	5,544,653	60,627	221,451,230
Financial liabilities measured at fair value								
Derivative financial instruments	-	6,928,768	-	6,928,768	-	1,498,777	-	1,498,777
Total financial liabilities measured at fair value	-	6,928,768	-	6,928,768	-	1,498,777	-	1,498,777

The regulatory floor price imposed on the shares of LankaBangla Finance PLC was lifted in January 2024. Since then, the shares have been actively traded in the Dhaka Stock Exchange. Accordingly, the investment in LankaBangla Finance PLC was transferred from Level 2 to Level 1 as at 31st March 2024.

FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd....)

Fair Value of Financial Assets and Liabilities Carried at Amortised Cost

Bank

Date of Valuation	As at 31st March 2024					As at 31st December 2023 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	776,194,266	-	776,194,266	775,056,999	-	756,414,366	-	756,414,366	756,435,559
debt & other instruments	349,706,545	47,218,925	-	396,925,470	393,838,816	316,477,987	48,582,784	-	365,060,771	368,100,002
	349,706,545	823,413,191	-	1,173,119,736	1,168,895,815	316,477,987	804,997,150	-	1,121,475,137	1,124,535,561
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	16,163,226	-	16,163,226	16,163,226	-	11,621,838	-	11,621,838	11,621,838
due to depositors - fixed & certificate of deposits	-	876,832,661	-	876,832,661	868,330,136	-	838,327,706	-	838,327,706	830,478,092
due to debt securities holders	-	20,777,372	-	20,777,372	16,922,538	-	29,764,020	-	29,764,020	26,709,893
	-	913,773,259	-	913,773,259	901,415,900	-	879,713,564	-	879,713,564	868,809,823

Group

Date of Valuation	As at 31st March 2024					As at 31st December 2023 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	812,336,769	-	812,336,769	807,473,250	-	791,028,334	-	791,028,334	787,355,719
debt & other instruments	358,566,330	47,218,925	-	405,785,255	402,698,601	322,277,827	48,582,784	-	370,860,611	373,899,842
	358,566,330	859,555,694	-	1,218,122,024	1,210,171,851	322,277,827	839,611,118	-	1,161,888,945	1,161,255,561
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	22,523,637	-	22,523,637	22,445,567	-	17,337,165	-	17,337,165	17,344,766
due to depositors - fixed & certificate of deposits	-	903,186,999	-	903,186,999	894,131,656	-	861,671,761	-	861,671,761	853,417,035
due to debt securities holders	-	24,337,063	-	24,337,063	20,558,022	-	33,281,286	-	33,281,286	30,386,809
	-	950,047,699	-	950,047,699	937,135,245	-	912,290,212	-	912,290,212	901,148,610

Treasury bonds acquired in settlement of SLDBs under the Domestic Debt Optimisation Program (DDO) in 2023 have been classified under level 2 since there is no active market for them.

The following table lists those financial instruments for which their carrying amounts are a reasonable approximation of fair values because, for example, they are short term in nature or re-priced to current market rates frequently.

Assets	Liabilities
Cash & cash equivalents	Securities sold under repurchase agreements
Balances with Central Bank of Sri Lanka	Savings, demand, call & margin deposits
Placements with banks	Due to other borrowers
Reverse repurchase agreements	Dividend payable
Other financial assets	Other financial liabilities

DEBENTURE INFORMATION

(a) Market Values

Debentures - 2019/2024	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2024	2023	2024	2023	2024	2023
Fixed - 13.90%	N/T	N/T	N/T	N/T	N/T	N/T

Debentures - 2021/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2024	2023	2024	2023	2024	2023
Fixed - 9.00%	N/T	N/T	N/T	N/T	N/T	N/T

Debentures - 2023/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2024	2023	2024	2023	2024	2023
Fixed - 28.00%	135.00	N/T	110.00	N/T	135.00	N/T
Floating rate	N/T	N/T	N/T	N/T	N/T	N/T

N/T - Not Traded

(b) Interest Rates

Debentures - 2019/2024	2024		2023	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 13.90%	13.90%	13.90%	13.90%	13.90%

Debentures - 2021/2028	2024		2023	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 9.00%	9.00%	9.00%	9.00%	9.00%

Debentures - 2023/2028	2024		2023	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 28.00%	28.00%	28.00%	28.00%	28.00%
Floating rate	Note 01			

Note 01

Debentures - 2023/2028

Floating rate is equivalent to the one year gross treasury bill rate plus 1.5%, subject to a floor of 20.0% & a cap of 31.0% p.a. payable annually.

DEBENTURE INFORMATION (Cont ..)

(c) Interest Rates of Comparable Government Securities

	2024	2023
3 Month Treasury Bill	10.07%	25.99%
6 Month Treasury Bill	10.23%	25.79%
5 Year Treasury Bond	12.28%	25.86%
7 Year Treasury Bond	12.75%	24.85%

(d) Current Yield & Yield to Maturity

Debentures - 2019/2024	Fixed 13.90%	
	2024	2023
Current yield	N/T	N/T
Yield to maturity of last trade	N/T	N/T

Debentures - 2021/2028	Fixed 9.00%	
	2024	2023
Current yield	N/T	N/T
Yield to maturity of last trade	N/T	N/T

Debentures - 2023/2028	Fixed 28.00%		Floating	
	2024	2023	2024	2023
Current yield	20.74%	N/T	N/T	N/T
Yield to maturity of last trade	15.29%	N/T	N/T	N/T

N/T - Not Traded

Note 02

Debentures - 2019/2024

The Bank has redeemed the debentures issued in 2019 amounting to Rs 7.0 Bn on 28th February 2024.

(e) Ratios - Bank

	31.03.2024	31.12.2023
Debt to Equity Ratio (%)	10.9	15.6
Interest Cover (Times)	9.4	9.7
Quick Asset Ratio (%) (as per CBSL Return)	80.3	71.7

SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

Item	As at 31st March 2024	As at 31st December 2023	As at 31st March 2024	As at 31st December 2023
	Bank		Group	
Regulatory Capital (Rs 000)				
Common Equity Tier 1 Capital	110,647,615	118,530,902	120,277,468	128,072,822
Tier 1 Capital	110,647,615	118,530,902	120,277,468	128,072,822
Total Capital	132,825,307	141,853,666	142,927,080	151,849,708
Regulatory Capital Ratios (%)				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7.0%)	15.18	16.35	15.55	16.67
Tier 1 Capital Ratio (Minimum Requirement - 8.5%)	15.18	16.35	15.55	16.67
Total Capital Ratio (Minimum Requirement - 12.5%)	18.22	19.56	18.48	19.77
Leverage Ratio % (Minimum Requirement - 3%)	5.72	6.39	6.05	6.73

	As at 31st March 2024	As at 31st December 2023
	Bank	
Assets Quality (Quality of Loan Portfolio)		
Impaired Loans (Stage 3) Ratio %	5.53	5.87
Impairment (Stage 3) to Stage 3 Loans Ratio (%)	59.18	57.80
Profitability		
Interest Margin, %	5.24	5.16
Return on Assets (Before Tax), %	1.59	2.12
Return on Equity (After Tax), %	9.04	12.65
Regulatory Liquidity		
Statutory Liquid Assets (Rs 000)	722,733,366	635,737,884
Statutory Liquid Assets Ratio (Minimum Requirement - 20%)	52.79	47.76
Total Stock of High-Quality Liquid Assets (Rs 000)	659,650,452	566,567,931
Liquidity Coverage Ratio (%) - Rupee (Minimum Requirement - 100%)	407.42	453.16
Liquidity Coverage Ratio (%) - All Currency (Minimum Requirement - 100%)	307.77	312.47
Net Stable Funding Ratio (%) (Minimum Requirement - 100%)	189.57	184.20